

manner; and promoting financial stability in the wake of domestic and external shocks. More recently a number of measures have been initiated towards inculcating a credit culture through enforcement of creditors' rights, and hastening the process of credit recovery. All these measures were designed to create an efficient, productive and profitable financial sector.

Information technology has played a key role in this transformative journey of Indian banking. Technology has enabled more effective, lower cost and real-time delivery of financial services, through the establishment of a modern payments system. Also, Information Technology has allowed development of several instruments of liquidity and finance. Following global trends, many development finance institutions also assumed the role of, or converted into, commercial banks and some commercial banks were allowed into insurance and mutual funds business. In the recent years, quite a few non-banking financial institutions – investment companies, loan companies, housing finance companies, infrastructure companies – have emerged and are doing well and some development financial institutions such as NABARD, SIDBI, EXIM, and NHB are also performing well. While banks and non-banking financial institutions are regulated by RBI, quite a few regulatory bodies have been instituted to look after insurance business, pension funds, etc. Securities and Exchange Board of India (SEBI) which regulates capital market/stock exchanges has been strengthened and the Forward Markets Commission (FMC) which looks after commodity futures has also been reformed.

7.5.3 Currency Exchange Reforms

Under import substitution strategy and paucity of earnings through exports, allocation of foreign exchange by RBI was severely restricted through complex import licensing system. Rupee remained linked to sterling pound for along time till 1975 when it was pegged with a basket of currencies involving India's important trade partners. This remained in effect till 1993. In July 1991, in quick succession through two devaluations, value of rupee was brought down by around 20 per cent. This was a part of understanding arrived at with the IMF for securing standby loan. Since 1993, rupee is on floating exchange rate and its external value (with respect to each currency) is determined by market forces though RBI does intervene in foreign exchange market if it finds that there is excessive volatility by buying or selling foreign currencies in spot as well as in futures market. Thus, ours is a managed float system or managed flexible regime as are most of other countries.

As India wanted to attract Foreign Direct Investment, it liberalised conversion of rupee into foreign currencies but only on the current account. Once, India built sufficient forex reserves in terms of foreign currency assets, it gradually permitted its resident companies to convert rupee into foreign currencies to facilitate overseas investment. This is in effect conversion of rupee on capital account. Restriction on capital account convertibility however continue, we have some distance to travel before full capital account convertibility. This is perhaps a lesson drawn from South-East Asian crisis in the late 1990s.

- 1) Why was Fiscal Responsibility and Budget Management Act legislated?

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- 2) Explain the role of Cash Reserve Ratio and Statutory Liquidity Ratio.

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- 3) State the status of convertibility of rupee.

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7.6 REFORMS FOR MICROECONOMIC STRUCTURAL ADJUSTMENT

We all often hear that Economic Reforms mean liberalisation, privatisation, and globalisation (LPG), which have replaced license, permit, and quota (LPQ) as the latter had run out their course and had become stale, corrupt, and counter-productive creating a high cost economy. This section intends to explain the meaning of LPG and some steps that were taken up in India.

7.6.1 Liberalisation of Business

If restrictions are imposed by the Government on private economic activities, the policy regime may be termed as a regulated and controlled business regime. By contrast, if no restrictions are imposed, the policy regime may duly be called one of *laissez faire* (a French phrase for let do or let go) – a euphemism for free market. However, in a society with State, economy cannot be completely free of restrictions (or incentives). When some of existing restrictions are removed or relaxed, it can be said that economic activity is being liberalised: it is about removing the burden of restrictions. In case restrictions are further tightened, policy can be said to be restraining or constraining one. It is quite possible that in some spheres, in any given period, policies are made more restrictive and other areas, more liberal.

In industrial sector, India had managed to create considerable barriers to entry and expansion: license for entry, license for expansion, license for diversification, license for imports of capital goods and intermediate goods, permission for amalgamation, control on issue of shares and debentures, restrictions on prices – of goods, services and factors, compulsory procurement of a portion of output by government, check on foreign investment, restrictions on foreign collaboration for technology and even on location of industry. These were once the order of the day in the pre-reform era of the 1970s and 1980s. There were certain restrictions on factor markets – particularly, labour – for wages and social security. These were said to be choking the initiative and enterprise of the people. However, it was pointed out that big industrialists could still circumvent almost all the restrictions with connivance or cooperation of rent-seeking bureaucracy for graft. Those who could manipulate the system, developed vested interest in its continuation; they could reap monopoly profits as the competition they faced was very low or even non-existent. The end result was corruption and delays in execution of projects. General assessment was that this hampered growth (efficiency) without promoting social justice (equity).

Government of India, with Prime Minister Narasimha Rao and Finance Minister Manmohan Singh, in July-August 1991 and in April 1993, spearheaded many liberal provisions or undertook promotional measures in the areas of (a) licensing business, (b) foreign investment, (c) foreign technology agreements, (d) establishment, merger, amalgamation, takeover of companies or appointment of directors in corporate governance, and (e) exiting from business. Licensing was made mandatory only for 18 categories– later reduced to 15 by delisting refrigerators, air-conditioners, and washing machines. Procedures for foreign investment and foreign technology collaboration were sought to be promoted. Labour laws were made a little easier for businessman.

One wonders whether the move was to de-bureaucratise the processes or promote marketisation. It was perhaps both.

7.6.2 Privatisation of Public Sector Units and Disinvestment

By 1990, the world had changed; its zeitgeist had changed. The new mantra was ‘government’s business is not to do business’ or ‘government has no business to do business’. This was in tune with the trend towards privatisation of public assets. There was a time in 1940s when nationalisation was seen as way forwarded in the capitalist world, particularly in the UK, even in the wake of the World War II and then there came a time in 1980s when privatisation became the mantra for reforming economic management.

It was felt during 1980s in India that government was unnecessarily directly operating industries in many areas where it ought not to and that many of public sector units were not performing up to the mark by parameters set for them. In the former case, Government could simply withdraw by selling its stakes. This is called disinvestment. In the latter case, undertakings were to be so reformed that they perform well even if meant partnership with private sector in terms of ownership and/or management. But the issue soon became who would buy a loss-making unit? Buyers insisted that they would cut down staff which was oversized or non-performing. Short of funds, Government decided to sell shares of performing undertakings. Moreover, shares of such companies could be sold at high premium. In certain cases, one Government company bought the shares